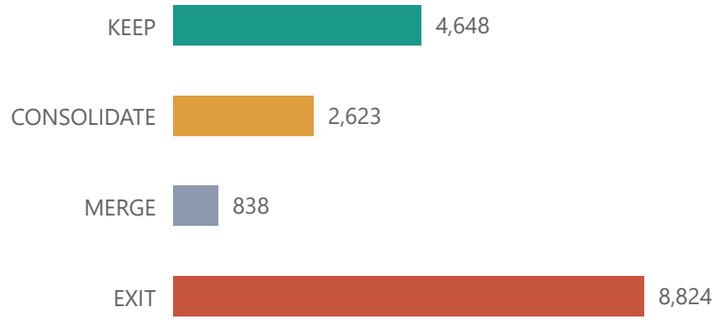
Supplier Rationalization: cut 73% of supplier records, keep 87% of spend

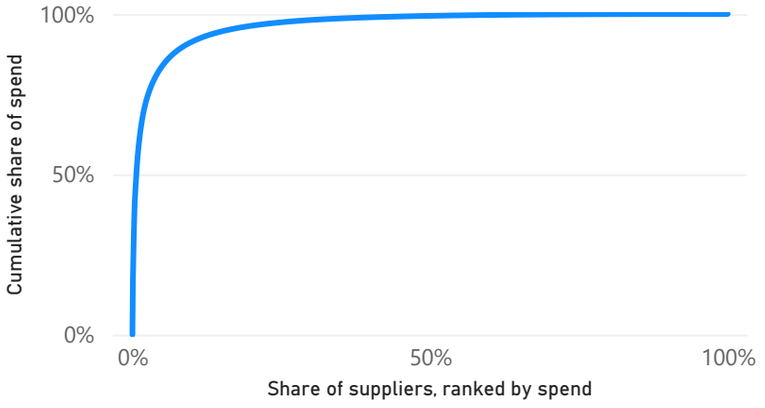
Real procurement data: State of California purchase orders FY2012-15 (16,933 addressable suppliers, $7.3B/yr), scaled to J&J's public totals (~29,000 suppliers, ~$35B addressable spend)

Suppliers today	Suppliers kept	Supplier reduction	Spend retained with kept suppliers	Small/diverse active spend retained	J&J run-rate savings, base ($M/yr)
16,933	4,648	72.6%	87.0%	96.6%	$366.0

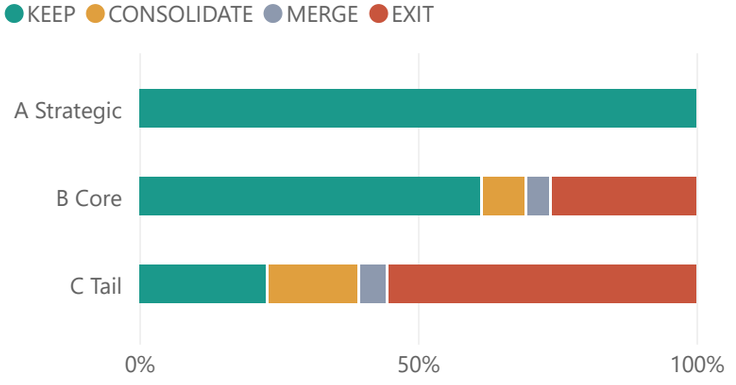
Suppliers by decision



Pareto: top 2% of suppliers hold 70% of spend



Decision mix by spend segment (A/B/C)



Every supplier has one decision and one reason code (rules applied in order R1-R8)

Rule	Decision	Reason	Suppliers	Spend $M/yr
R1	KEEP	Strategic (A-segment) supplier	327	$5,106.2
R2	KEEP	Supply protection: top-3 active supplier in a Strategic/Bottleneck category	369	$240.0
R3	MERGE	Duplicate record: fold into master supplier	838	$113.7
R4	EXIT	Inactive: no PO in 18+ months	5,614	$431.4
R5	EXIT	One-time vendor: 1 PO in 3 years; route future buys to preferred/catalog	3,210	$212.2
R6	KEEP	Preferred supplier: core of category spend or top-10% scorecard	1,785	$809.3
Total			**16,933**	**$7,290.9**

Spend segment

All

Kraljic quadrant

All

Small or diverse

All

Decision

All

So what

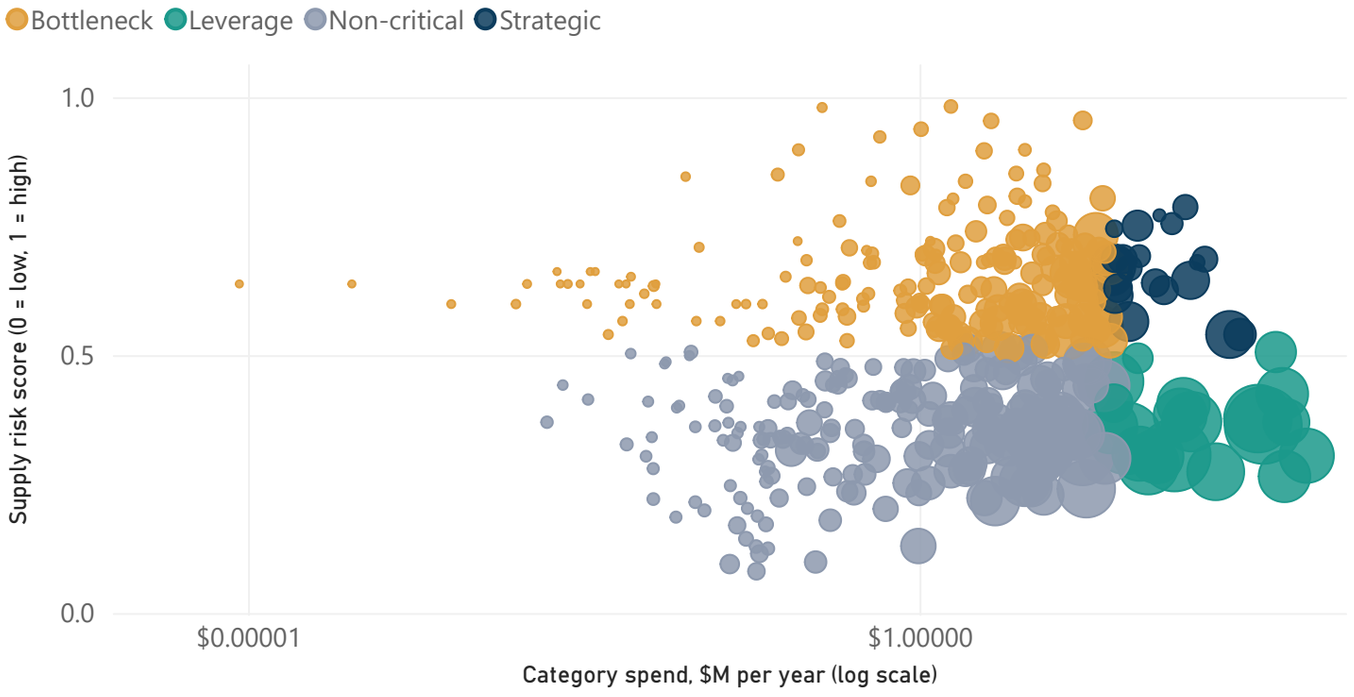
8,824 exits are inactive or one-time vendors: the easiest exits to defend.

Strategic (A) suppliers are never cut; they move to partnership agreements.

Category strategy: consolidate leverage and non-critical categories, protect bottlenecks

Kraljic matrix of 409 real UNSPSC categories. Value = category spend; supply risk = non-competitive buying + top-3 concentration + thin supply base (ranked within size bands)

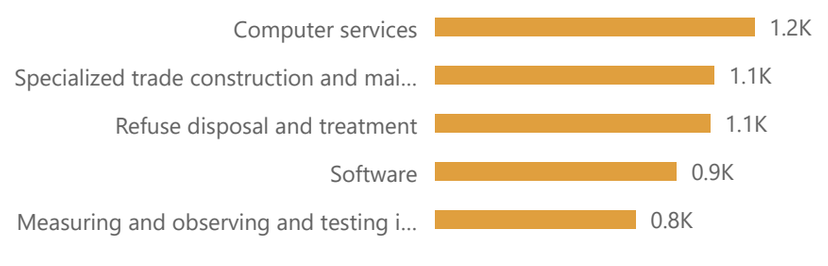
Kraljic matrix: bubble size = number of suppliers



Quadrant summary: 59% of spend sits in 20 leverage categories

Quadrant	Categories	Share of spend	Suppliers	Approach
Strategic	21	20.9%	3,231	Keep and partner: MC
Leverage	20	59.3%	12,663	Tender and consolida
Bottleneck	183	12.8%	10,341	Secure supply: long-t
Non-critical	185	7.0%	21,991	Simplify: catalog / pu
Total	**409**	**100.0%**	**48,226**	

Most fragmented categories: first consolidation targets



All 409 categories with quadrant and agreement type

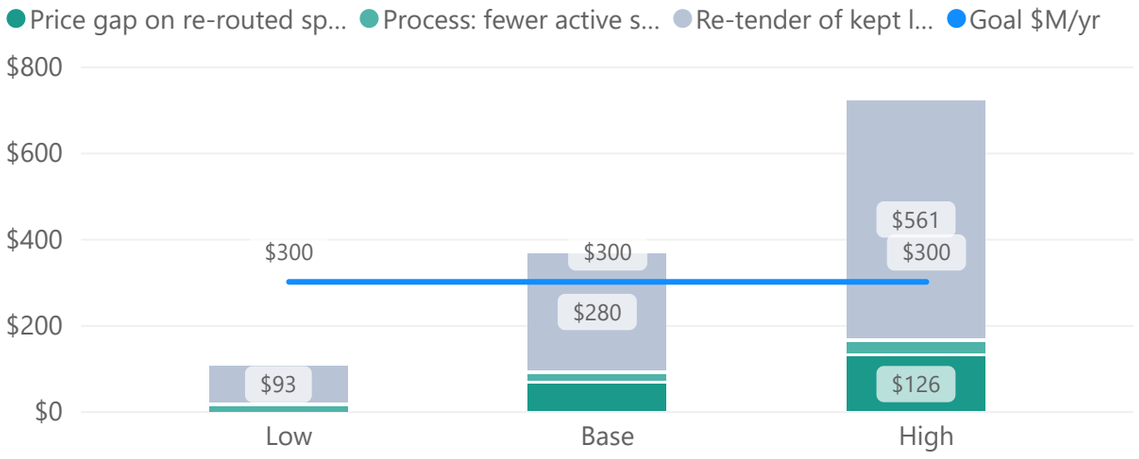
Category	Quadrant	Agreement type	Spend $M/yr	Suppliers	% non-competitive	% top-
Professional engineering services	Leverage	Competitive tender; MSA with 2-3 preferred suppliers	$763.8	580	1.0%	
Comprehensive health services	Leverage	Competitive tender; MSA with 2-3 preferred suppliers	$539.3	400	1.4%	
Medical practice	Leverage	Competitive tender; MSA with 2-3 preferred suppliers	$521.5	518	0.5%	
Management advisory services	Leverage	Competitive tender; MSA with 2-3 preferred suppliers	$502.0	523	7.4%	
Human resources services	Leverage	Competitive tender; MSA with 2-3 preferred suppliers	$449.6	299	1.8%	

Savings: $366M a year at J&J scale in the base case, but only $86M is measured in the data

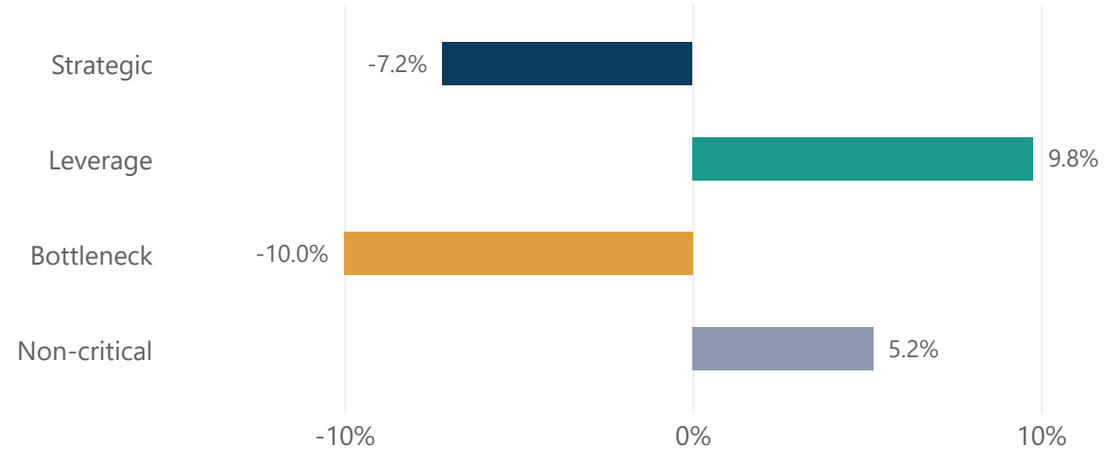
Price-gap test on 127 goods items bought from both kept and exiting suppliers; re-tender saving is an assumption. Scaled to J&J by spend ($35B) and supplier count (29,000).

Run-rate savings, base ($M/yr)	Measured in the data ($M/yr)	One-time cost ($M)	3-year NPV, base ($M)	Re-tender saving needed for $300M goal
$366.0	$85.8	$40.0	$571.9	1.15%

J&J run-rate savings by scenario vs the $300M goal (line)



Exiting suppliers charge more only in Leverage (+9.8%) and Non-critical (+5.2%)



Price-gap evidence: same item, kept vs exiting suppliers

Item	Quadrant	Kept: median unit price	Exiting: median unit price	Gap	Exiting spend, 3 yrs
ammunition	Bottleneck	$265.45	$660.00	59.8%	$1,265,535
parts purchase for calfire aircraft	Bottleneck	$2,424.00	$1,804.00	-34.4%	$1,175,897
diesel fuel	Strategic	$5,026.59	$8,076.62	37.8%	$747,050
software maintenance	Leverage	$31,816.67	$39,703.00	52.4%	$712,936
propane	Bottleneck	$16,200.00	$10,000.00	-62.0%	$501,448
breast pumps	Bottleneck	$308,498.47	$162,736.00	-89.6%	$470,774

What has to be true

Measured savings: $63M price gap on re-routed spend + $23M fewer suppliers to maintain.

The other $280M assumes a 1.5% re-tender saving with kept leverage suppliers.

To reach $300M, that re-tender must deliver at least 1.15%: test it in a pilot sourcing wave first.

Payback is fast: $40M one-time cost; even the low case has a positive NPV ($135M).

Supplier explorer: decision and reason code for all 16,933 suppliers

Filter by decision, rule, segment or quadrant. Spend is annual (3-year total / 3).

Decision

All

Rule

All

Spend segment

All

Kraljic quadrant

All

Small or diverse

All

Supplier-level decisions

Supplier	Segment	Primary category	Quadrant	Decision	Rule	Reason
MANAGEMENT SOLUTION, LLC	A Strategic	Human resources services	Leverage	KEEP	R1	Strategic (A-segment) sup
Hensel Phelps Construction Co	A Strategic	Professional engineering services	Leverage	KEEP	R1	Strategic (A-segment) sup
CGI	A Strategic	Taxation	Strategic	KEEP	R1	Strategic (A-segment) sup
T.Y. Lin International	A Strategic	Professional engineering services	Leverage	KEEP	R1	Strategic (A-segment) sup
HP Enterprise Services	A Strategic	Comprehensive health services	Leverage	KEEP	R1	Strategic (A-segment) sup
Parsons Brinckerhoff, Inc.	A Strategic	Management advisory services	Leverage	KEEP	R1	Strategic (A-segment) sup
ACCENTURE	A Strategic	Software	Leverage	KEEP	R1	Strategic (A-segment) sup
A I M ENTERPRISES	A Strategic	Computer services	Leverage	KEEP	R1	Strategic (A-segment) sup
Intuitive Health Services	A Strategic	Medical practice	Leverage	KEEP	R1	Strategic (A-segment) sup
Hatch Mott MacDonald	A Strategic	Environmental management	Strategic	KEEP	R1	Strategic (A-segment) sup
HP Enterprise Services LLC	A Strategic	Management advisory services	Leverage	KEEP	R1	Strategic (A-segment) sup
Acs State & Local Solutions Inc.	A Strategic	Software	Leverage	KEEP	R1	Strategic (A-segment) sup
DynCorp International, LLC	A Strategic	Public order and safety	Strategic	KEEP	R1	Strategic (A-segment) sup
Sundt Construction	A Strategic	Professional engineering services	Leverage	KEEP	R1	Strategic (A-segment) sup
HealthRIGHT 360	A Strategic	Medical practice	Leverage	KEEP	R1	Strategic (A-segment) sup
Dataskill, Inc.	A Strategic	Software	Leverage	KEEP	R1	Strategic (A-segment) sup
Elavon, Inc. (formerly known as Nova Information Systems, Inc	A Strategic	Credit agencies	Strategic	KEEP	R1	Strategic (A-segment) sup
Pinnacle Petroleum	A Strategic	Fuels	Strategic	KEEP	R1	Strategic (A-segment) sup
Pinnacle Health Services, Inc	A Strategic	Human resources services	Leverage	KEEP	R1	Strategic (A-segment) sup
HDR Engineering, Inc.	A Strategic	Environmental management	Strategic	KEEP	R1	Strategic (A-segment) sup